



Wholesale / Broker Agreement

This Broker Agreement is made and entered into this ____ day of _____, by and between SouthStar Capital, LLC whose business address is 840 Low Country Blvd., Mount Pleasant, SC 29464 (hereinafter referred to as "Company"), and _____ whose business address is _____ ("hereinafter referred to as "Broker").

1. **Term.** This Agreement will become effective on the date stated above and will continue in effect until terminated as provided herein.
2. **Services.** Broker agrees to solicit new prospective commercial clients for Company, to provide Company completed document packages for Company's evaluation and possible acceptance, in accordance with Company's instructions to Broker and the terms and provisions of this Agreement.
3. **Performance.** Broker will determine solely the method, details and means of performing the above described services. Broker may, at its expense, employ such assistants as Broker deems necessary to perform the services and Company will not control, direct or supervise Broker's assistants or employees in any manner.
4. **Compensation.** In consideration for the services to be performed by Broker, Company agrees to pay Broker commissions based on the type of referral provided to the company, and based on the schedule outlined below.

Commission Schedule

- a. **Working Capital Facilities** which typically include funding based on accounts receivable, purchase orders, and in some instances inventory or equipment flex facilities, up to ten percent (10%) of commissionable fees collected, so long as invoices are collected in full.
- b. **Equipment Loans & Leases** which typically includes funding based on a specific term during which the client is making regular payments or which interest and fees are occurring, up to ten percent (10%) of commissionable fees collected.
- c. **Real Estate Transactions** which typically include various term, bridge or other financing structures where client is securing real estate as collateral. In these instances, broker commissions are earned in via points associated with the closing, which may be paid from proceeds at closing or a later date, subject to written approval by client and SSF underwriting.



5. Commission Eligibility. Broker shall be entitled to commissions solely on those individual transactions that Broker personally referred to Company and in which Broker was actively involved in originating (including, without limitation, introducing the client, facilitating initial discussions, and/or materially assisting in the negotiation or closing of the transaction). For the avoidance of doubt, no commissions shall be payable to Broker on (i) any renewal, extension, or replacement of a transaction unless Broker is directly and actively involved in originating such renewal, extension, or replacement on substantially the same terms as required for the original transaction, or (ii) any future or subsequent transactions (including new or separate engagements) with the same client or any affiliate or related party of such client, even if such future transactions arise out of or are related to a referral relationship that originated from Broker's original referral, unless Broker is separately and actively involved in originating each such future transaction in the manner described above.

6. Broker's Obligations.

- a. **Extent of Services.** Broker will determine what amount of time Broker devotes to the performance of the above described services. Broker may represent, perform services for, and be employed by, such additional Company's, clients, persons or companies as Broker, in Broker's sole discretion, sees fit.
- b. **Workers' Compensation.** Broker agrees to provide workers' compensation insurance for Broker's employees and agents, if required, and Broker agrees to hold harmless and indemnify Company from any and all claims arising out of any injury, disability or death of any of Broker's employees or agents.
- c. **Liability Insurance.** The Broker shall, in his sole discretion, determine the necessity of obtaining and/or maintaining a policy of insurance to cover any negligent acts committed by Broker or Broker's employees or agents during the performance of any duties under this Agreement.
- d. **Required Licensure.** Broker must possess and maintain necessary licenses and certification in compliance with any and all applicable state and federal regulations. Non-compliance with regulatory requirements may result in commissions withheld or voided, transactions being deemed ineligible, and the notification of regulatory agencies where compliance requires.

7. Independent Contractor. Broker is acting under this Agreement as an independent contractor and not as an employee or agent of Company.

8. Broker Warranties and Representations; Remedies. A Broker expressly warrants and represents to SSC with each transaction submitted that to the best of Brokers knowledge:



- a. Each item submitted will be a bona fide obligation of the client or customer and to the best of Broker's knowledge is valid and enforceable in accordance with its terms. All documents were duly executed by appropriate parties and all information is complete and accurate in all respects, and have actually been delivered to, and accepted by the client under the terms of the agreement, and are not subject to any defense including without limitation, claims of non-conformity or offset by the client or other party.
- b. All representations and warranties made by the Broker to SSC and all documentation provided are true, correct and not misleading, false or fraudulent in any respect. All financial information as well as bank, trade and credit ratings received by the Broker will be provided to SSC and no negative financial information or ratings will be deleted from the transaction.
- c. No part of the money used to commence any financial obligation has been loaned, rebated or advanced by Broker or any related party and Broker has entered into no reciprocal agreements with the client or officer or employee or guarantor of the applicant.
- d. Broker shall not split any compensation or other financing requests between various funding sources without the consent of SSC. The Broker warrants that any application submitted is for the full amount of financing that is requested. If request is not for the full amount, Broker will disclose to SSC the dollar amounts and funding sources being contracted for other requests.
- e. If a transaction submitted to SSC is being "re-brokered" as the term is generally understood in the industry, the Broker will notify SSC, at the time of submission, of any sub-Broker involved in the transaction. Any fees not requested, disclosed and agreed to by SSC prior to submission will be the sole responsibility of Broker.
- f. Broker has obtained all consents and authorizations required by law as a condition to obtaining a consumer credit report, if applicable.
- g. Any and all documents, applications, authorizations, appraisals or other documentation provided to SSC are a true and accurate representation of the transaction and has not been altered in any way to include the financial condition of the client and that all parties subject to or identified in any agreements or documents in which SSC services are to be provided, are in good standing and that such services or other items being provided are actually in existence and factual.
- h. Broker further acknowledges, affirms, and agrees that:
 - i. In the course of Company's due diligence, Company makes its best effort to fully discover, understand, and evaluate Broker's Client's indebtedness/debt and obligations; and bases its willingness to offer, provide and consummate a financing facility with Broker's Client, in part, upon that understanding.
 - ii. When Company, offers, provides and consummates a financing facility with Broker's Client, Broker's Client also becomes Company's Client ("Our Client") at which time Company assumes a material, continuing interest in the financial health of Our Client ("Interest") during the Term of Company's relationship with Our Client (together with any successive renewal term(s), collectively "Term").
 - iii. SSC's Interest in Our Client is potentially compromised by the assumption of additional indebtedness/debt and obligations by Our Client.



- iv. Broker shall not compromise Company's Interest during the Term by facilitating, engaging in, endeavoring or in any way assisting Our Client with assuming additional indebtedness/debt and obligations without Company's express prior consent, which consent shall not be unreasonably withheld and which consent, for Broker's protection, shall be provided in writing.

- 9. **No Assignment.** Neither this Agreement nor any duties or obligations under this Agreement may be assigned by either party.
- 10. **Termination.** Notwithstanding anything herein to the contrary, either party may terminate this Agreement at any time by giving thirty (30) days prior written notice to the other party. Company may terminate immediately for cause – i.e. fraud and etc.
- 11. **Entire Agreement.** This Agreement supersedes any and all agreements, either oral or written, between the parties hereto with respect to the rendering of services by Broker to Company and contains all of the agreements between the parties with respect to the rendering of such service. Both parties agree that no representations, inducements, promises, or agreements, oral or otherwise, have been made by any party or anyone acting on behalf of any party, which are not embodied herein, and that no other agreement, statement or promise not contained herein shall be valid or binding. Any modification of this Agreement will be effective only if it is in writing and signed by both parties.
- 12. **Choice of Law and Venue; Attorney's Fees.** This Agreement shall be construed and interpreted and the rights of the parties determined in accordance with the laws of the State of South Carolina. If either party brings an action at law or in equity to enforce or interpret or seek redress for breach of this Agreement, the prevailing party in such action shall be entitled to its litigation expense and reasonable attorneys' and witness fees in addition to all other relief. SSC and Broker hereby agree that suit may only be brought and consents to venue of the Courts in the County of Charleston, State of South Carolina.
- 13. **Non-Circumvent / Non-Disclosure.** Information is to be exchanged by SSC and Broker regarding the certain private business matters concerning the marketing, application, development, supply, business contacts, and any other matter of or concerning the business conducted by SSC, or other like business venture including financial information, names, addresses, rights and interests which information is currently confidential and because of the impact on current and future projects; disclosure of same to any other parties not herein named will cause financial damage to SSC. The parties agree that:
 - a. **Information protected.** No information hereinafter provided to or discovered by Broker during the course of this agreement will be disclosed in any communication, shape or form to any person, corporation or entity without the consent of SSC; and



- b. **Term of Agreement.** The term of this agreement to maintain confidentiality shall be for the entire term of Broker's agreement with SSC and an additional period of two years from the date of any termination.
- c. **Non Circumvention.** Broker agrees, warrants and covenants therefore, not to, in any way whatsoever, circumvent or attempt to circumvent SSC by directly or indirectly, dealing with the contacts of the other in any present or future transactions relating to any business venture related that of SSC.

[SIGNATURE PAGE TO FOLLOW]



Executed the day and year first above written at the City of _____,

State of _____.

BROKER:

Signed: _____

Company: _____

Address: _____

Cell: _____ Direct: _____

Office: _____ Fax: _____

Email: _____

CORPORATE USE ONLY

***** APPROVED BY

SOUTHSTAR CAPITAL, LLC

By: _____

Name: _____ Title: _____